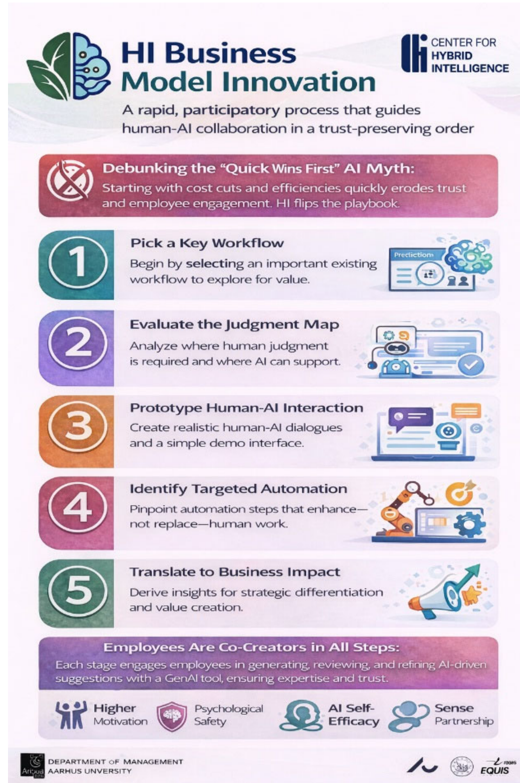
HI Business Model Innovation



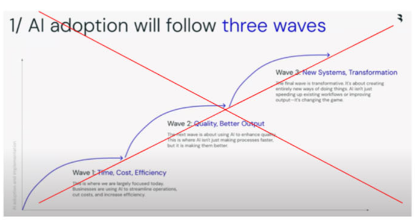
Brief method summary: HI business model innovation is a rapid, participatory process that examines existing workflows through a Hybrid Intelligence lens—using human–GPT co-creation to clarify judgment, prototype realistic interaction, and guide automation and strategy in a trust-preserving way.

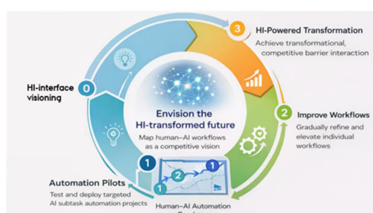
Debunking the "Quick Wins First" AI Myth

A common belief in AI transformation is that organizations should begin with quick efficiency wins—automating low-hanging fruit—before moving on to quality improvements and, eventually, innovation. This logic mirrors past technological waves and feels reassuringly pragmatic.

In practice, it fails.

When AI adoption starts with cost cutting, task replacement, or headcount reduction, employees rapidly infer the true objective. Trust erodes, motivation collapses, and psychological safety disappears. Within months, the organization may have deployed many AI tools—but it has lost the human engagement required for genuine transformation. Later ambitions around co-creation, innovation, or "human-centered AI" no longer land, because credibility is gone.





HI business model innovation starts from a different premise:
If AI is introduced first as a partner in human judgment and expertise, efficiency gains still happen—but without destroying trust. Innovation becomes possible because the human system remains intact.

The Purpose of HI Business Model Innovation

HI business model innovation is a **rapid, participatory process** designed to:

- Steer AI strategy and technology development in a trust-preserving direction
- Surface where human judgment is essential and economically valuable
- Engage employees as co-creators rather than passive adopters
- Build a shared vision for human–AI collaboration before automation decisions are locked in

The process is intentionally lightweight. It can be run as a **1-hour workshop, a half-day sprint, or a full-day design session**, and is meant to guide—not replace—subsequent strategy, governance, and system development.

At every stage, employees actively participate in **structured human–GPT collaboration**, using generative AI to accelerate ideation while retaining human authorship, judgment, and responsibility.

The HI Business Model Innovation Process

1. Select a High-Value Existing Workflow

The process begins by **selecting one or a few existing, strategically important workflows**—not by redesigning the organization or imagining an ideal future state.

The workflow should:

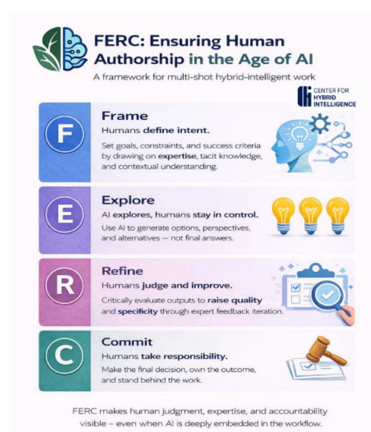
- Matter economically or reputationally
- Involve non-trivial judgment, coordination, or expertise
- Be familiar to employees, so discussion is concrete rather than abstract

Detailed Product Development Workflow at Grænn

1. **Consumer Insight & Trend Research**
   - Gather insights from market research reports, beauty trend platforms, social listening, and customer feedback.
   - Identify emerging themes (e.g. "skinimalism," allergen-free formulas, refillable packaging) that align with Grænn's clean and sustainable positioning.
2. **Concept Ideation**
   - Internal creative teams brainstorm product ideas that fit both consumer needs and each brand's DNA (e.g. Nilens Jord's hypoallergenic ethos or Flora Danica's luxury fragrance story).
   - Draft concept briefs including target audience, key claims, and product positioning.
3. **Feasibility & Ingredient Scouting**
   - Collaborate with suppliers to check ingredient availability, cost, and compliance with eco-label and vegan standards.
   - Screen out any ingredients that conflict with sustainability or allergen-free promises.
4. **Formulation Design**
   - R&D and perfumers/chemists create prototype formulas (e.g. skincare base or fragrance accord).
   - Balance between performance, sensory appeal (texture, scent), and safety standards.

This step anchors the process in reality. The goal is not reinvention, but **focused examination through a Hybrid Intelligence lens**.

Employee engagement (FERC style):
Participants collaboratively *frame* the workflow: its purpose, constraints, success criteria, and pain points—drawing on their tacit knowledge and lived experience.



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2. Examine the Workflow Through an HI Lens (Prediction vs. Judgment)

Next, the selected workflow is decomposed to distinguish between:

- **Prediction-oriented activities** (where AI can generate options, drafts, estimates, or simulations)
- **Judgment-oriented activities** (where context, responsibility, experience, or values are decisive)

This is not a task-automation exercise. It is a **strategic clarification of where humans must remain in the loop** and where AI can productively support them.

Prediction–Judgment Framework for Grænn Workflow

Task	Prediction Aspects (machine-suited)	Judgment Aspects (human-suited)
1. Consumer Insight & Concept Development	• Analyzing large volumes of trend data, sales history, and social media signals to predict emerging beauty trends. • Identifying likely market demand patterns (e.g. growth in vegan products).	• Deciding which trends align with Grænn's brand DNA and Nordic identity. • Weighing cultural relevance and creative originality in concept selection. • Balancing short-term trends with long-term brand positioning.
2. Ingredient Scouting & Feasibility	• Predicting ingredient performance and compatibility using databases and prior formulation data. • Estimating costs, lead times, and supply reliability from historical supplier data.	• Assessing supplier trustworthiness and ethical practices. • Making trade-offs between cost, sustainability, and authenticity. • Choosing ingredients that embody brand values (e.g. Scandinavian nature).
3. Formulation Design & Internal Testing	• Running simulations to predict stability, texture, and shelf life of prototypes. • Using AI to suggest optimal ratios or substitutes for clean-beauty compliance.	• Evaluating sensory qualities (feel, fragrance, consumer perception) that models can't fully capture. • Applying professional intuition about market expectations. • Ensuring the "look and feel" aligns with the luxury/sustainable positioning.

Employee engagement (FERC style): Using a generative AI tool, participants rapidly generate alternative task decompositions and interaction patterns. These suggestions are then **reviewed, challenged, and refined** by employees based on domain expertise.

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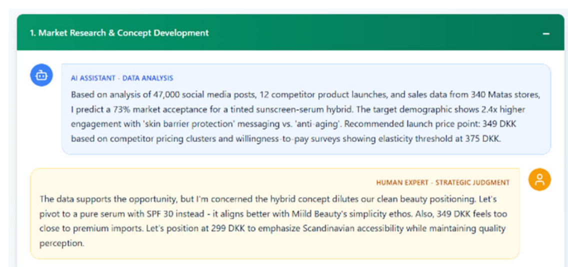
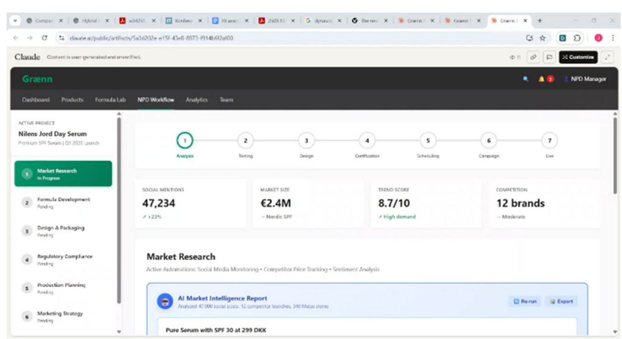
3. Prototype Human–AI Interaction Using Vibe-Coded Speech Pairs

Rather than staying abstract, the process then moves to **interaction realism**.



Participants co-create:

- **Vibe-coded human–AI speech pairs** (short dialogue snippets showing how humans and AI would actually talk to each other in the workflow)
- A **rough demo interface concept**, expressing tone, control, sequencing, and responsibility boundaries



The focus is on *how it feels* to work with the AI:

- Who sets direction?
- Where does AI suggest rather than decide?
- Where does the human pause, judge, override, or commit?

This step makes future workflows tangible and emotionally legible—surfacing concerns and opportunities that diagrams alone cannot reveal.

Employee engagement (FERC style):
AI generates multiple dialogue variants; employees critique, rewrite, and improve them until the interaction reflects real professional standards.

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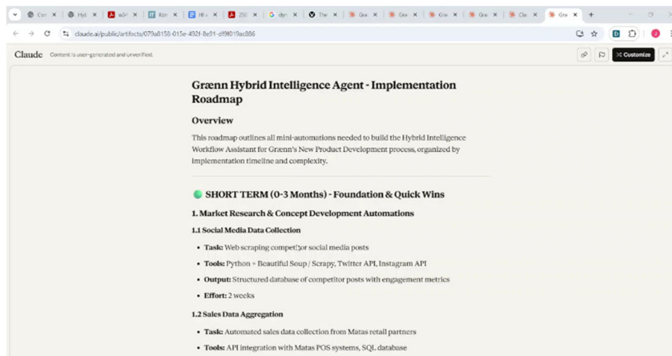
4. Derive Targeted Automation Opportunities

Only now does automation enter the discussion.



With a shared understanding of:

- The workflow
- The judgment structure
- The desired human–AI interaction

Participants identify **specific, bounded automation opportunities** that clearly support human work rather than threaten it.

Because the intent is already aligned, these automation ideas are typically welcomed—experienced as relief, acceleration, or quality enhancement rather than loss of control.

Employee engagement (FERC style):
Automation suggestions are AI-generated, but **humans decide what is acceptable, valuable, and safe**.

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5. Translate Insights into Business Model Direction

Finally, the group reflects on what the exercise implies for the broader business model:

- How does this workflow create value differently when human judgment is made visible?

- What does this suggest about differentiation, trust, and quality?
- What capabilities—human, organizational, or technological—should be strengthened next?

The output is not a finished strategy, but **clear strategic direction** that can inform projects, platform choices, policies, and people development.

Employee engagement (FERC style):
Humans *commit*: they articulate what they stand behind, what they are willing to be accountable for, and what kind of human–AI organization they want to be part of.

Why This Works

Because employees are actively involved at every stage:

- Motivation increases instead of collapsing
- Psychological safety is reinforced
- AI self-efficacy grows
- A genuine sense of partnership with the organization emerges

Efficiency gains are not sacrificed—but they arrive **in the right order**, embedded in trust rather than fear.